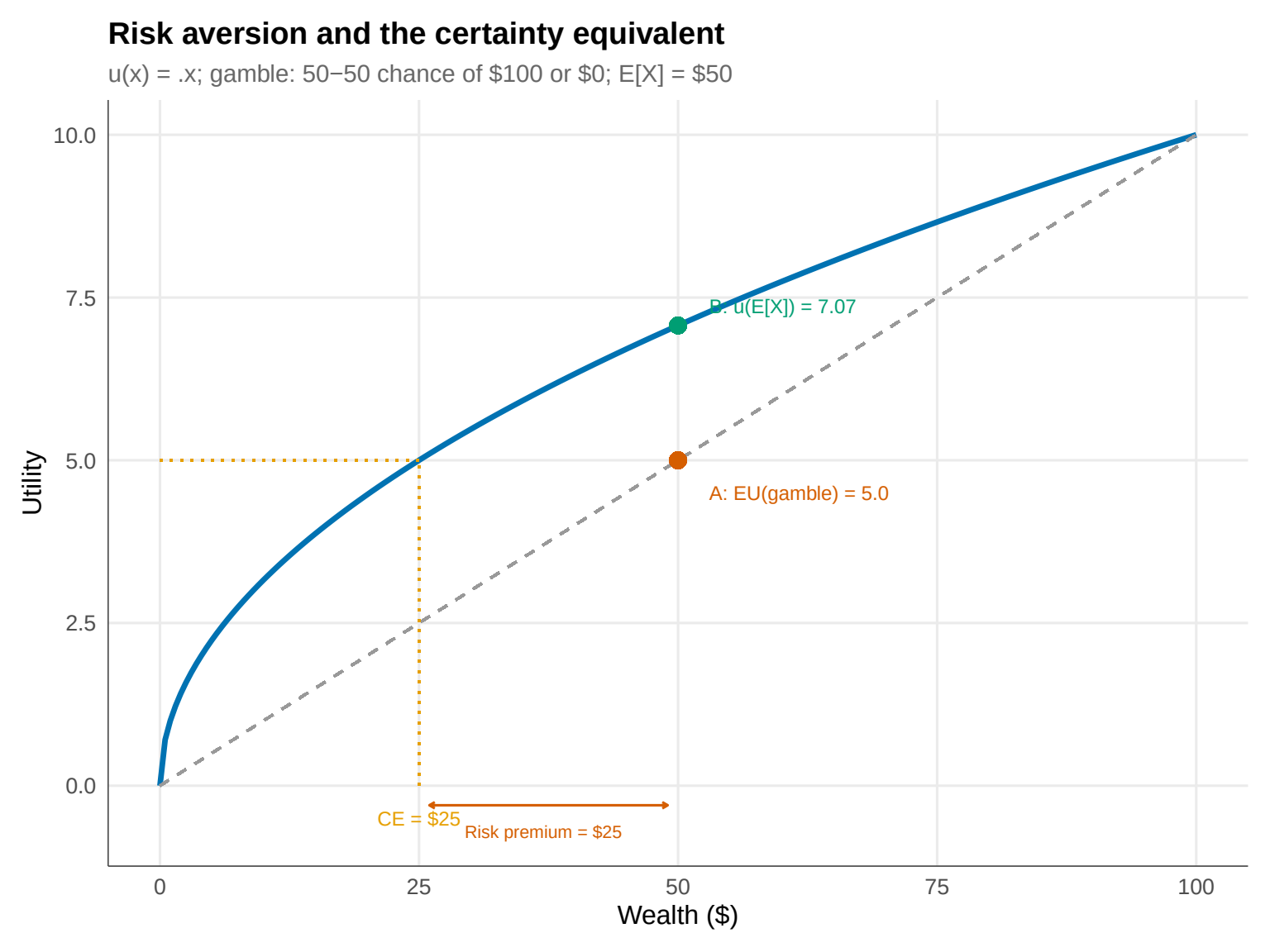
Risk aversion and the certainty equivalent
u(x) = .x; gamble: 50−50 chance of $100 or $0; E[X] = $50
10.0
7.5
5.0
2.5
0.0
Utility
B: u(E[X]) = 7.07
A: EU(gamble) = 5.0
CE = $25
Risk premium = $25
0
25
50
75
100
Wealth ($)